

Investment Demand Shock and Business Cycle

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Abstract

This paper studies the role of investment demand shock in the U.S. business cycle, as an alternative to the classic investment specific technology (IST) shock. Following the idea of Nieri and Ragot (2025), I introduce an investment demand process that shifts investment exogenously after the baseline endogenous investment decision is formed, which requires a two-step equilibrium solution. I build an estimated DSGE model with nominal rigidities, investment adjustment costs, and endogenous capital utilization, and estimate it using Bayesian methods with U.S. data.

The estimation results show that investment demand shock is a competitive driving force of the business cycle. In the baseline model, investment demand shock alone explains about 40% of the forecast error variance of output and about 50% of investment, and it generates an inflationary expansion that contrasts with the deflationary effect of IST shock. Robustness tests using the relative price of investment to discipline IST shock, and using a larger Smets–Wouters type model, both support the view that investment demand shock remains quantitatively important.

Investment has been seen as an important part of explaining the business cycle for a long time. It remains the most volatile variable in the macroeconomy. Over the past few decades, the role of investment in the business cycle has been continuously discussed, with new model environments being proposed (Greenwood et al., 1988, 1997; Fisher, 2006; Justiniano et al., 2010; Winberry, 2021).

The discussion of investment in the business cycle is mainly based on investment shocks on the supply side Fisher (2006); Justiniano et al. (2010), such as the investment specific technology (IST) shock. However, with the development of modeling techniques in heterogeneous models, an investment demand-side shock is also proposed by Nieri and Ragot (2025). Unlike supply-side shocks, the demand-side shock affects the firm's investment decision. Moreover, under certain calibrations, it has been shown that the investment demand shock can produce comovement between consumption and inflation, which is otherwise hard to interpret using supply-side shocks. Although this comovement effect is preferred to explain the data, this shock still lacks empirical evidence to support it. Following Justiniano et al. (2010), this paper uses an estimated DSGE model to quantify the influence of the investment demand shock in the business cycle.

As the origin of the investment demand shock stems back to the lumpy investment assumption and the idiosyncratic productivity shock, which works only in models with heterogeneous firms, the shock should be simplified in a representative-agent model. To put this shock in a representative-agent model, we use a two-step solution to push up investment demand.

Using the two-step solution method, I build a DSGE model with both an IST shock and an investment demand shock and estimate it using Bayesian methods. The results show that investment demand shock can be another competitive shock driving the business cycle. Investment demand shock alone contributes about 40% of the forecast error variance of output, and about 50% of investment.

To further address concerns about identification problems and oversimplification of the model specification, I also use relative price data to further identify the IST shock, and then use a more standard model similar to Smets and Wouters (2007) to solidify the results estimated from the baseline model. These results provide empirical support to quantify the influence of the investment demand shock, and to further investigate its role in the business cycle.

1 Introduction

Early research has drawn attention to the investment shock because of the obvious trend in the data on the relative price between investment goods and consumption goods, which implies another trend term in the investment specific technology besides the neutral technology (Greenwood et al., 1988). After that, quantitative results have been established by Greenwood et al. (1997) using a calibrated DSGE model, and by Fisher

(2006) using a structural VAR model. Both of them claimed that the investment shock accounts for about half of the forecast error of the output and the working hours.

A new wave of research about the investment shock is stimulated by Smets and Wouters (2007), who estimated a more realistic model based on Christiano et al. (2005) using Bayesian estimation. Using the same approach, Justiniano et al. (2010, 2011) argued again that the investment shocks are the main source of the business cycle. While the investment shock shows strong effects on the macro variables, there are other candidates being proposed to account for the business cycle. Christiano et al. (2014) and Kamber et al. (2015) argued that investment shock is less important once the model includes financial friction and shocks in the financial market.

Though I named the investment shock, there are various kinds of specification being discussed. Among them, the most classic one is the investment specific technology (IST) shock, which increases the technology level to produce the investment goods by the consumption goods (Greenwood et al., 1997; Fisher, 2006; Justiniano et al., 2010). Besides, Justiniano et al. (2011); Kamber et al. (2015) distinguished the IST shock from the marginal efficiency of investment (MEI) shock, which represents the technology level to produce the capital goods by the investment goods. However, the difference between these two shocks rely on the detailed modeling of the capital production process. If the capital production process is just modelled by one capital law of motion equation, then those two shocks cannot be distinguished, and thus I make no clarification between them hereafter. In addition, there are many works discussed the IST news shock, in the sense that the shock is known by agents now but will affect the economy several periods after (Schmitt-Grohé and Uribe, 2012; Ben Zeev and Khan, 2015; Liao and Chen, 2023). However, this kind of shock is beyond the scope of this paper.

Despite the IST shock has been considered as an important driving force of the business cycle, it fails to generate the comovement between the consumption, investment and inflation. To solve the comovement problem, Nieri and Ragot (2025) proposed an investment demand shock based on a model featuring the firms' heterogeneity and the lumpy investment assumption. By the calibrated model, the investment demand shock generates the comovement between consumption and investment. While the shock is traced back to the idiosyncratic productivity shock, on the aggregate level, it presents a deviation of investment from the original investment decision made in the shock-free environment. Because of this, the investment demand shock can also be represented in a DSGE model without heterogeneity, and be estimated using the same approach with Smets and Wouters (2007).

However, since adding the shock requires the investment decision before the arrival of the shock, the solution of the rational expectation equilibrium needs to be separated into two steps. In the first step, the model includes all shocks and frictions except for the investment demand shock, from where the endogenous investment decision is solved. In the second step, the investment is decided by both the endogenous investment

decision and the exogenous investment demand shock. It is worth pointing out that the endogenous investment decision cannot be changed in the second step, and thus investment demand is exogenously increased by the shock. Although the investment decision is fixed, households can still adjust their decisions on other terms, such as consumption and labor input, and thus the second step solves another equilibrium. This equilibrium, finally, will be used to compute the likelihood.

Comparing with the IST shock, investment demand shock does not change the relative price of the investment, and thus we can safely identify the IST shock and the investment demand shock in a standard one-sector model using the relative price data. However, as pointed out by Moura (2018), the relative price can be a poor indicator of the investment specific technology in the two-sector model. Therefore, I postpone this exercise to a later section and rely on the theoretical difference—whether the comovement between consumption, investment and inflation—to identify two shocks in the benchmark result.

Section 2 introduces the baseline model. Section 3 presents the solution method and incorporates the investment demand shock. Section 4 describes the Bayesian estimation, and Section 5 reports the benchmark results. Section 6 provides robustness checks, and Section 7 concludes.

2 Baseline Model

The baseline model is based on Herbst and Schorfheide (2015) and Smets and Wouters (2007). I selected some model settings to keep the fitness to the data, including price and wage rigidity, investment adjustment cost, and endogenous capital utilization ratio. However, some settings are left out in the baseline model to keep the solution clean, such as habit formation and price indexation.

I first specify the model without the investment demand shock, and then add the shock in Section 3.

2.1 Household

There is a continuum of households indexed on $[0, 1]$. For simplicity of notation, the index of the household is omitted in the following equations. The representative household owns the firms and solves the dynamic optimal problem over consumption c_t , hours worked ℓ_t , nominal bonds B_t , investment i_t , capital k_t , and capital utilization u_t .

$$\max_{c,b,i,k,l,u} \mathbb{E}_t \sum_{k=0}^{\infty} \beta^k \left(\frac{(c_{t+k}/\gamma^{t+k})^{1-\sigma} - 1}{1-\sigma} - \chi \frac{\ell_{t+k}^{\psi+1}(j)}{\psi+1} \right) \quad (1)$$

In the objective function, γ is the growth rate of the labor-augmented technology, which is used to generate a trend in the state variables. Usually, if we use detrended

data, there is no need to add this term. However, the process of detrending itself includes some operations on the data, which are not explained in the model. To maintain the integration of the estimation process, I use γ to fit the non-detrended data.

Following Herbst and Schorfheide (2015), I assume the representative household derives utility from effective consumption, defined as absolute consumption scaled by the trend in labor-augmenting technology. This formulation mathematically guarantees the existence of a balanced growth path and the convenience of representing the marginal utility, as we can directly define the detrended consumption $\tilde{c}_{t+k} = c_{t+k}/\gamma^{t+k}$ inside.

The budget constraint appears in the following equation:

$$c_t + i_t + \frac{b_{t+1}}{R_{t+1}P_t} = r_t^k k_{t-1} u_t - a(u_t)k_{t-1} + \frac{b_t}{P_t} + w_t \ell_t - \frac{\tau_t}{P_t} + \frac{d_t}{P_t}. \quad (2)$$

where b_t and R_t denote nominal bonds and the nominal interest rate. τ_t is the nominal tax, and d_t is the nominal dividend from the firms they own. $a(u_t)k_{t-1}$ is the adjustment cost of capital utilization. $a(\cdot)$ is a function defined on $[0, 1]$, satisfying $a(1) = 0$ and $a''(1) > 0$. Endogenous capital utilization allows capital to be adjusted when facing shocks, even though capital is still a predetermined variable, and the adjustment cost of capital utilization smooths the adjustment process.

The law of motion of capital adds several additional terms compared with the standard one.

$$k_{t+1} = (1 - \delta)k_t + \mu_{s,t} \left[1 - S\left(\frac{i_t}{i_{t-1}}\right) \right] i_t \quad (3)$$

The first one is the investment specific technology shock $\mu_{s,t}$, which can be assumed to follow a stationary AR(1) process without incorporating the relative price of investment.

$$\ln \mu_{s,t} = (1 - \rho_i) \ln \mu_s + \rho_s \ln \mu_{s,t-1} + \varepsilon_{s,t}, \quad \varepsilon_{s,t} \sim \text{i.i.d. } \mathcal{N}(0, \sigma_s^2) \quad (4)$$

The second one is the investment adjustment cost $S\left(\frac{i_t}{i_{t-1}}\right)$. I use the function form $S(x) = \frac{\phi_i}{2}(x - \gamma)^2$, indicating that if the growth of the investment is above or below the balanced path growth rate, then an additional adjustment cost should be charged. The setting is important because the investment would be very sensitive to the shocks otherwise, which fails to match to the comovement in the data (Winberry, 2021) and causes unrealistic impulse response function.

From the household's optimal problem, we obtain the following first-order conditions. Let Q_t denote the ratio of the Lagrange multiplier on the law of motion of capital to the Lagrange multiplier on the budget constraint, which captures the relative marginal utility between consumption and investment. Q_t has the following relation to Tobin's Q :

Tobin's $Q = Q_t \mu_{s,t}$. Define gross inflation as $\pi_{t+1} \equiv P_{t+1}/P_t$.

$$\Lambda_{t,t+1} \equiv \frac{\beta}{\gamma} \left(\frac{c_{t+1}/\gamma^{t+1}}{c_t/\gamma^t} \right)^{-\sigma} \quad (5)$$

$$1 = Q_t \mu_{s,t} \left(1 - S \left(\frac{i_t}{i_{t-1}} \right) - S' \left(\frac{i_t}{i_{t-1}} \right) \frac{i_t}{i_{t-1}} \right) + \mathbb{E}_t \left[\Lambda_{t,t+1} Q_{t+1} \mu_{s,t+1} S' \left(\frac{i_{t+1}}{i_t} \right) \left(\frac{i_{t+1}}{i_t} \right)^2 \right], \quad (6)$$

$$Q_t = \mathbb{E}_t \left[\Lambda_{t,t+1} (r_{t+1}^k u_{t+1} - a(u_{t+1}) + (1 - \delta) Q_{t+1}) \right], \quad (7)$$

$$1 = \mathbb{E}_t \left[\Lambda_{t,t+1} \frac{R_{t+1}}{\pi_{t+1}} \right], \quad (8)$$

$$w_t = \chi \ell_t^\psi \gamma^t \left(\frac{c_t}{\gamma^t} \right)^\sigma, \quad (9)$$

$$r_t^k = a'(u_t). \quad (10)$$

2.2 Final Goods Producer

This part of model is standard, where perfectly competitive firms produce the final goods Y_t using a CES aggregator. They solve the optimal problem,

$$\begin{aligned} \max_{Y_t, y_t(j)} \quad & P_t Y_t - \int_0^1 p_t(j) y_t(j) dj \\ \text{s.t.} \quad & Y_t = \left(\int_0^1 y_t(j)^{\nu-1} dj \right)^{\frac{1}{\nu-1}}. \end{aligned} \quad (11)$$

Therefore, from the first-order condition, the demand for each intermediate good follows:

$$y_t(j) = \left(\frac{p_t(j)}{P_t} \right)^{-\nu} Y_t, \quad (12)$$

where P_t follows

$$P_t = \left(\int_0^1 p(j)^{\frac{\nu-1}{\nu}} dj \right)^{\frac{\nu}{\nu-1}}. \quad (13)$$

Alternatively, we could define the price markup shock by replacing the fixed parameter ν by a time-varying random variable.

2.3 Intermediate Goods Producer

Each intermediate goods producer has to solve both the cost minimization problem and the dynamic pricing problem.

The cost minimization problem is

$$\min_{k_t^s(j), n_t(j)} r_t^k k_t^s(j) + w_t n_t(j) \quad (14)$$

subject to their production technology,

$$y_t(j) = \mu_{a,t} k_t^s(j)^\alpha (\gamma^t n_t(j))^{1-\alpha}, \quad (15)$$

where $\mu_{a,t}$ is the aggregate productivity technology, following

$$\ln \mu_{a,t} = (1 - \rho_a) \ln \mu_a + \rho_a \ln \mu_{a,t-1} + \varepsilon_{a,t}, \quad \varepsilon_{a,t} \sim \text{i.i.d. } \mathcal{N}(0, \sigma_a^2). \quad (16)$$

γ^t ($\gamma > 1$) is the labor-augmented technology, which helps derive the balanced growth path. In addition, K_t^s means the capital service, which will be influenced by the capital utilization u_t under general equilibrium conditions.

The cost minimization solves the cost function. However, as the production function has constant returns to scale, the marginal cost is solved as well:

$$mc_t(j) = \frac{1}{\alpha^\alpha (1 - \alpha)^{1-\alpha} \gamma^{t(1-\alpha)}} \frac{w_t^{1-\alpha} (k_t^s)^\alpha}{\mu_{a,t}}. \quad (17)$$

The Calvo pricing problem is described below.

$$\begin{aligned} \max_{p_t(j)} \mathbb{E}_t \sum_{k=0}^{\infty} \theta_p^k \Lambda_{t+k,t} (p_t(j) y_{t+k}(j) - P_{t+k} mc_{t+k}(j)) \\ \text{s.t. } y_{t+k}(j) = \left(\frac{p_t(j)}{P_{t+k}} \right)^{-\nu}, \end{aligned} \quad (18)$$

where θ_p is the Calvo probability of not being allowed to reoptimize one's price, and $\Lambda_{t+k,t}$ is the stochastic discount factor between period $t + k$ and period t defined in equation (5).

I drop the price indexation, which allows firms to move their prices according to the inflation in the last period even though they are not allowed to reoptimize their prices, because Smets and Wouters (2007) shows the model has a higher posterior likelihood without this setting.

2.4 Wage Setting

Instead of modeling detailed intermediate labor sector, the baseline model uses a simplified wage setting equation to introduce the sticky wage, following Nieri and Ragot (2025).

$$w_t = \left(\frac{L_t^\psi}{C_t^{1-\sigma}} \right)^{\theta_w} w^{1-\theta_w} \quad (19)$$

where w is the steady-state real wage. Similar to the Calvo pricing problem, the equation roughly means that only a $\theta_w \in (0, 1)$ part of wage contracts can be reset to match the current marginal rate of substitution between hours worked and consumption. Meanwhile, the rest of the $1 - \theta_w$ part can only keep the steady-state real wage.

Comparing with the standard sticky wage setting in Erceg et al. (2000), this simplified wage-setting equation assumes a perfectly competitive labor market, and thus there is no wage markup if the firms are allowed to reset the wage contract. In addition, the trapped wage is on the steady-state level, which can be taken as the optimal wage setting before a shock has happened.

Another property of this equation is that the implied wage markup is not constant. To see this, we can simply calculate

$$\frac{w_t}{MRS_t} = \left(\frac{L_t^\psi}{C_t^{-\sigma}} \right)^{\theta_w - 1} w^{1 - \theta_w} = MRS_t^{\theta_w - 1} w^{1 - \theta_w}.$$

The wage markup increases a lot when the MRS_t approaches 0, which means the wage markup can absorb much of the decrease of the MRS_t in this regime and keeps the change of the real wage smooth. This mechanism is shown to be important to account the investment shock to the business cycle by Justiniano et al. (2010).

2.5 Government

The government performs the monetary and fiscal policy. The central bank follows a standard Taylor rule,

$$R_t = \left(\pi^* r \left(\frac{\pi_t}{\pi^*} \right)^{\psi_\pi} \left(\frac{Y_t}{Y_t^n} \right)^{\psi_y} \right)^{1 - \rho_R} R_{t-1}^{\rho_R} \exp(\varepsilon_{R,t}) \quad (20)$$

π^* is the targeted inflation rate of the central bank, and r is the steady-state real interest rate. The nominal interest rate is set according to the deviation of inflation π_t from the targeted inflation rate and of output Y_t from the natural output Y_t^n . Finally, $R_{t-1}^{\rho_R}$ smooths the change of the nominal interest rate, and $\varepsilon_{R,t}$ is the monetary policy shock, with $\varepsilon_{R,t} \sim \text{i.i.d. } \mathcal{N}(0, \sigma_R^2)$ across time.

The fiscal policy part includes a government budget constraint and an exogenous government spending process.

$$P_t G_t + R_{t-1} B_{t-1} = B_t + T_t \quad (21)$$

Government spending, G_t , follows an output stabilization rule and an exogenous government spending process (Leeper et al., 2010).

$$G_t = \left(\frac{Y_t}{Y} \right)^{-\phi_g} \mu_{g,t} \quad (22)$$

$\mu_{g,t}$ follows,

$$\ln \mu_{g,t} = (1 - \rho_g) \ln \mu_g + \rho_g \ln \mu_{g,t-1} + \varepsilon_{g,t}, \quad \varepsilon_{g,t} \sim \text{i.i.d. } \mathcal{N}(0, \sigma_g^2). \quad (23)$$

2.6 Resource Constraint

First we define the aggregate variables from the integration of households' optimal choices,

$$\begin{aligned} C_t &= \int_0^1 c_t(j) dj, \quad I_t = \int_0^1 i_t(j) dj, \quad L_t = \int_0^1 \ell_t(j) dj, \\ K_t &= \int_0^1 k_t(j) dj, \quad B_t = \int_0^1 b_t(j) dj, \end{aligned} \quad (24)$$

Since capital utilization u_t is only associated with the real interest rate of capital in equation (10), it is the same across all households. After integrating on the variables of $k_t^s(j)$ and $n_t(j)$ on the firms' side, and then applying the equilibrium condition, we can get

$$\begin{aligned} Y_t &= C_t + I_t + G_t + a(u_t)K_{t-1} \\ K_t^s &= u_t K_{t-1} \\ N_t &= L_t \end{aligned} \quad (25)$$

Government bond market is cleared according to Walras' law.

3 Equilibrium Solution Method

This section introduces the investment demand shock to the model and the solution method. The solution requires multiple parallel models—one for solving the endogenous investment demand, and two for solving the natural output.

3.1 Investment Demand Shock and Second-stage Model

The starting point is the investment level decided by the baseline model, which is denoted as I_t^* . After the equilibrium is established in the baseline model, the investment demand shock $\varepsilon_{d,t}$ is revealed, causing total investment to increase exogenously. Specifically, $\mu_{d,t}$ is the exogenous investment demand process, following

$$\ln \mu_{d,t} = (1 - \rho_d) \ln \mu_d + \rho_d \ln \mu_{d,t-1} + \varepsilon_{d,t}, \quad \varepsilon_{d,t} \sim \mathcal{N}(0, \sigma_{d,t}^2) \quad (26)$$

and the total investment becomes

$$I_t = \mu_{d,t} I_t^*. \quad (27)$$

As all households are representative, the increase in aggregate investment is equivalent to each household increasing its investment i_t^* by $\mu_{d,t}$. Therefore, we can specify the new optimal problem for each household.

$$\begin{aligned}
& \max_{c,b,k,l,u} \mathbb{E}_t \sum_{k=0}^{\infty} \beta^k \left(\frac{(c_{t+k}/\gamma^{t+k})^{1-\sigma} - 1}{1-\sigma} - \chi \frac{\ell_{t+k}^{\psi+1}(j)}{\psi+1} \right) \\
& \text{s.t. } c_t + \mu_{d,t} i_t^* + \frac{b_{t+1}}{R_{t+1}P_t} = r_t^k k_{t-1} u_t - a(u_t) k_{t-1} + \frac{b_t}{P_t} + w_t \ell_t - \frac{\tau_t}{P_t} + \frac{d_t}{P_t} \quad (28) \\
& k_{t+1} = (1-\delta)k_t + \mu_{s,t} \left[1 - S \left(\frac{\mu_{d,t} i_t^*}{i_{t-1}} \right) \right] \mu_{d,t} i_t^*
\end{aligned}$$

The difference between this optimal problem and the one in Section 2 lies in the control variables. Equation (28) states that investment is no longer a control variable. Instead, it is decided by the investment law described in equation (27), and thus we do not have the first-order condition with respect to investment. This kind of specification is not common because it actually says households are making the investment decision irrationally—the investment is not decided by the first-order condition. However, Nieri and Ragot (2025) provides the micro-foundation of such shock, which is generated from firms' idiosyncratic productivity shocks and the complementary movement between firms.

Following the exogenous investment required by the household, the economy should solve the equilibrium again, which will be finally used to calculate the likelihood. The reason why the investment demand shock cannot be compounded with the baseline model is that the household will adjust their investment according to the realization of the shock otherwise.

3.2 Frictionless Parallel Models

To solve the natural output used in the Taylor's rule, two frictionless parallel models should be introduced, one of which corresponds to the baseline model, and the other of which corresponds to the second-stage model. The two frictionless parallel models are nearly the same, except for the setting related with the investment demand shock.

Inside each frictionless parallel model, all nominal variables are excluded, and the wage sticky parameter θ_w is set to zero so that the real wage equals the marginal rate of substitution between hours worked and consumption.

The relations between all models are illustrated in Figure 1. Basically, starting from the frictionless baseline model, we solve the endogenous investment and natural output. The endogenous investment is then sent to the frictionless second-stage model, and the natural output to the sticky baseline model. Next, another endogenous investment is solved from the sticky baseline model and another natural output from the frictionless

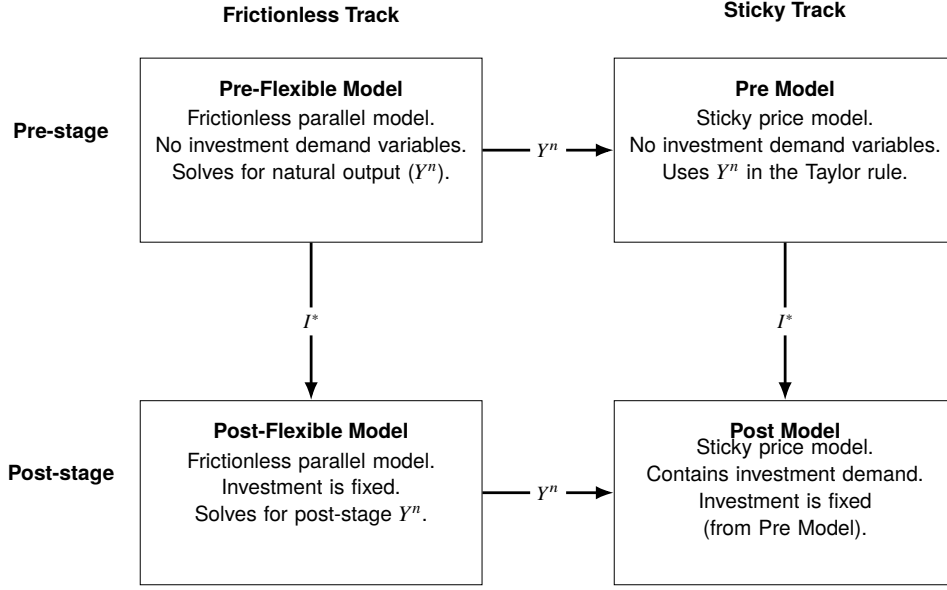


Figure 1: Link between the baseline model, the second-stage model with investment demand shock, and the frictionless parallel models used to compute endogenous investment and natural output.

second-stage model. Finally, combining the new endogenous investment and natural output, I solve the second-stage model.

3.3 Detrend and Log-linearization

As the model is endowed with a growth trend, the detrended state variables should be defined before solving the steady state. Specifically, define

$$\tilde{Y}_t = \frac{Y_t}{\gamma^t}, \quad \tilde{C}_t = \frac{C_t}{\gamma^t}, \quad \tilde{I}_t = \frac{I_t}{\gamma^t}, \quad \tilde{K}_t = \frac{K_t}{\gamma^t}, \quad \tilde{K}_t^s = \frac{K_t^s}{\gamma^t}, \quad \tilde{w}_t = \frac{w_t}{\gamma^t} \quad (29)$$

After rewriting the first-order conditions in terms of the detrended model, we can solve the steady state and the log-linearized model. The detailed derivation is put in Appendix A.

4 Estimation

This section describes the estimation method, including data selection, priors and posteriors of parameters. The methodology follows Smets and Wouters (2007) and Justiniano et al. (2010).

4.1 Data

The data set contains U.S. data on GDP growth rate, inflation rate, the federal funds rate, hours worked, investment growth rate, and government spending growth rate. The data period is from 1983:Q1 to 2002:Q4. The period selection is based on three considerations. First, since the economic model assumes a constant linear growth trend, we may face the problem of changing growth rates if we use a data set over long periods. Second, the data is selected to be comparable with Justiniano et al. (2010), who used the data from 1954:Q3 to 2004:Q4. Third, the data period avoids the periods where the economy faced the zero-lower bound constraint, as the model lacks a clear picture of monetary policy in such regimes.

All data are collected from the FRED database, and are processed to represent per-capita levels because there is no detailed modeling of population growth in the baseline model. The detail of the data process is described in Appendix B.

$$\begin{bmatrix} \Delta \ln GDP_t \\ \Delta \ln P_t \\ FEDFUNDS_t \\ \ln HOURS_t \\ \Delta \ln INV_t \\ \Delta \ln GOV_t \end{bmatrix} = \begin{bmatrix} 100 \ln \gamma \\ 400 \pi_{ss} \\ 400 R_{ss} \\ \bar{\ell} \\ 400 \ln \gamma \\ 400 \ln \gamma \end{bmatrix} + \begin{bmatrix} \hat{y}_t - \hat{y}_{t-1} \\ \hat{\pi}_t \\ \hat{R}_t \\ \hat{\ell}_t \\ \hat{i}_t - \hat{i}_{t-1} \\ \hat{g}_t - \hat{g}_{t-1} \end{bmatrix} + \Sigma_t^{meas} \quad (30)$$

Equation (30) describes the relationship between the observed data and the state variables, which is called the observation equation. π_{ss} and R_{ss} are steady-state values of these variables, and variables with hats indicate the log-linearized variables. π_{ss} and R_{ss} are multiplied by 4 to indicate the year-to-year inflation rate and the federal funds rate. Moreover, because I use the demeaned $HOURS_t$, $\bar{\ell} = \ell_{ss} - \mu_{hours}$, where ℓ_{ss} is the steady-state labor input level and μ_{hours} is the mean of the data.

Σ_t^{meas} is a 6×1 vector, containing the measurement error for each data variable. The measurement error helps the model to adjust the number of shocks flexibly, while the stochastic singularity problem may be raised with fewer shocks than the data (Ruge-Murcia, 2007). The value of the measurement error is set as 4% of the variance of each series, meaning that there is a small part of variance in the data caused by the data collection process.

Compared with Smets and Wouters (2007) and Justiniano et al. (2010), I add the data of government spending, because there are fewer shocks in my model than theirs and the government spending shock will dominate the fluctuation otherwise. In addition, the data on consumption and wages are dropped, as more shocks and mechanisms are required for the model to fit these additional data. Nevertheless, the result of the expanded model will be examined in section 6.

4.2 Prior and Posterior Distributions

To facilitate the setting of the priors, I reparametrize some of the parameters. Specifically,

$$\begin{aligned}\bar{\gamma} &= 100(\gamma - 1) \approx 100 \ln \gamma, \\ \bar{\pi} &= 400\pi_{ss}, \\ \bar{r} &= 400\left(\frac{\gamma}{\beta} - 1\right).\end{aligned}\tag{31}$$

Accordingly, R_{ss} is calculated as $\bar{\pi} + \bar{r}$.

Additionally, there are some parameters that suffer from weak identification problems, and therefore I set their values following Smets and Wouters (2007); Leeper et al. (2010); Nieri and Ragot (2025). The inverse Frisch elasticity in the final goods production function ν_p is set as 6, indicating that the steady-state markup is 0.12. The depreciation rate of capital δ is set as 0.025, and the steady ratio of government spending to output s_g is set as 0.2.

The details about the priors and posteriors are summarized in table 1, where the posterior is based on the Metropolis-Hastings algorithm with 100,000 sample size and 0.5 burn-in rate. The priors of the parameters are relatively flat so that less restrictions are imposed on the posteriors.

φ_i is the parameter in investment adjustment function, which is defined in equation (64) in Appendix A. ψ_u is the parameter in the capital utilization adjustment cost function defined in equation (67). Moreover, κ_p is the coefficient in the Phillips curve, defined in equation (71).

There are a few posteriors worth to be examined. The first one is ψ_u , whose posteriors are quite different among literature. Smets and Wouters (2007) estimates ψ_u about 0.5, Justiniano et al. (2010) gives about 0.8, and Section 6 gives about 0.1, even though the model structure is quite similar. The second one is ρ_s , as it is pretty much to the unit root. This extreme value may be a result of lacking enough shocks to interpret the volatility in the data, as the result Section 6 shows a more temperate persistence in IST shock. Finally, κ_p and θ_w are around 0.5, which indicates the Calvo parameter is near 0.5 for the final goods, and 0.2 for the wage. This means 50% of final goods producers can reset their price, and 80% of households can reset their wage. I flag these problematic posteriors here and will investigate their implications for other results in the next section.

5 Results

This section introduces the estimation results from the baseline model, in which the central part is the forecast error variance decomposition (FEVD). I begin with a moments comparison between the estimated model and the data.

Table 1: Prior distributions and posterior summaries (mean, std, 5%, 95%) for parameters in the baseline estimation.

Parameter	Dist.	Prior		Posterior			
		Mean	Std	Mean	Std	5%	95%
σ	Gamma	2.00	0.50	2.56	0.37	1.99	3.19
ψ	Gamma	2.00	0.50	1.77	0.26	1.37	2.23
κ_p	Beta	0.30	0.10	0.43	0.07	0.32	0.55
α	Normal	0.30	0.05	0.41	0.02	0.38	0.44
θ_w	Beta	0.50	0.20	0.50	0.10	0.35	0.67
$\bar{\ell}$	Normal	0.00	2.00	0.96	1.69	-1.82	3.77
$\bar{\gamma}$	Normal	0.40	0.20	0.33	0.03	0.27	0.37
$\bar{r}$	Gamma	0.50	0.50	1.80	0.44	1.07	2.49
$\bar{\pi}$	Gamma	7.00	2.00	4.05	0.69	3.05	5.36
ψ_π	Normal	1.50	0.25	1.87	0.18	1.60	2.18
φ_i	Gamma	4.00	1.50	8.35	1.98	5.40	11.79
ψ_u	Beta	0.50	0.15	0.09	0.03	0.04	0.14
ϕ_g	Gamma	0.07	0.05	0.04	0.01	0.02	0.06
ψ_y	Gamma	0.50	0.25	0.28	0.13	0.10	0.52
ρ_a	Beta	0.60	0.20	0.94	0.02	0.89	0.98
ρ_g	Beta	0.60	0.20	0.99	0.00	0.99	0.99
ρ_R	Beta	0.60	0.20	0.76	0.04	0.70	0.82
ρ_s	Beta	0.60	0.20	0.99	0.01	0.97	1.00
ρ_d	Beta	0.60	0.20	0.87	0.04	0.80	0.93
σ_a	InvGamma	0.50	4.00	0.45	0.06	0.36	0.56
σ_g	InvGamma	0.50	4.00	0.89	0.07	0.78	1.01
σ_R	InvGamma	0.50	4.00	0.24	0.03	0.20	0.29
σ_s	InvGamma	0.50	4.00	1.41	0.35	0.89	2.04
σ_d	InvGamma	0.50	4.00	1.35	0.16	1.10	1.62

5.1 Moments

Table 2 shows the comparison of mean and variance implied by the model and the data. Though most of the moments are close, the variance of the hours worked is extremely high compared with the data. To investigate this result, we can look into the log-linearized equations to write the labor input by state variables out of the labor market.

$$\hat{N}_t = \frac{\hat{m}c_t + \alpha \hat{k}_t^s + \hat{\mu}_{a,t} - \theta_w \sigma \hat{c}_t}{\alpha + \theta_w \psi} \quad (32)$$

Table 2: Model-implied and data moments (mean and variance) for the baseline observables (output, inflation, interest rate, hours, investment, and government spending).

Observable	Mean		Variance	
	Model	Data	Model	Data
Output	0.33	0.56	0.67	0.34
Inflation	4.05	3.08	5.09	2.16
Interest rate	7.15	6.05	8.33	5.01
Hours	0.96	0.00	31.86	6.37
Investment	0.33	0.57	3.87	2.53
Gov. spending	0.33	0.31	0.82	0.85

I decompose the stationary variance of $\hat{N}_t$ into the four parts laying on the numerator. Specifically, the stationary variance is computed by

$$\text{Var}(\bar{s}) = \text{Var}(\Phi \bar{s} + R\varepsilon) = \Phi \text{Var}(\bar{s}) \Phi' + R \text{Var}(\varepsilon) R',$$

and then R^2 is computed according to equation (32) and the variance of each state variables. The result is summarized in Table 3.

Table 3: Decomposing model-implied hours volatility. $R^2 = \text{corr}(N_t, x_t)^2$ from regressing model-implied hours on each component x_t , i.e. the share of $\text{Var}(N_t)$ linearly accounted for by co-movement with that component. Moments are theoretical (unconditional) second moments, $\Sigma = \Phi \Sigma \Phi' + R S e R'$.

Component	$\text{corr}(N_t, x_t)$	R^2 (%)
Consumption (wealth effect), $-\omega \sigma_c c_t$	+0.907	82.29
Marginal cost, mc_t	+0.061	0.37
Capital services, $\alpha(k_t + u_t)$	-0.030	0.09
Technology, a_t	+0.087	0.76

In such decomposition, the high volatility of hours worked mainly comes from the volatile consumption log-deviation (level) $\hat{c}_t$. Though in the data, the variance of $\hat{c}_t$ is

just about 2.8, the model implied counterpart is 39.23 as shown in Table 4. While it is normal to think that consumption is volatile in the baseline estimation, because the consumption data is not used in the data set, Table 4 also shows that this problem persists in the workhorse model in Smets and Wouters (2007). I compute this statistic from the replication package of Smets and Wouters (2007) directly, the value reaches to 33.75 as well.

Table 4: Model-implied vs. data variance of the *level* of consumption and hours worked. Data variance of consumption level is computed by the cyclical term detrended by OLS constant and time-linear term. The Smets and Wouters (2007) column reports the theoretical unconditional moments of the original Smets–Wouters (2007) model. The gap between the model levels and the data is driven by persistence: $\text{Var}(\text{level}) \approx \text{Var}(\text{growth})/[2(1 - \rho_1)]$.

Variable	Smets and Wouters (2007)	Baseline model	Data
Consumption (c)	33.75	39.23	2.80
ρ_1	0.993	0.996	0.901
Hours worked (N)	8.85	32.22	6.29
ρ_1	0.975	0.993	0.907

However, the variance of labor input differs quite a lot. This is because Smets and Wouters (2007) adds a wage markup shock $\mu_{w,t}$ between the marginal rate of substitution and the real wage

$$\hat{\pi}_t^w = \beta \mathbb{E}_t \hat{\pi}_{t+1}^w - \underbrace{\kappa_w \left(\hat{w}_t - m\hat{r}s_t + \frac{1}{\kappa_w} \mu_{w,t} \right)}_{\text{wage markup}}.$$

By adding such shock, wage is less tied with MRS_t , and thus it has more freedom to fit with the data. In 6, the estimation based on the Smets and Wouters (2007) model shows a much better fit on the variance of the hours worked, and the FEVD analysis in Table 7 also shows the strong influence of the wage markup shock on the hours worked and wage growth.

Nevertheless, from the wage Phillips curve equation, it is natural to think that κ_w will play an important role on the connection between consumption and labor input. Actually, by computing κ_w under posterior in Section 6, it is only tiny 0.006. But if we drop the wage markup shock, the weak link between MRS_t and wage effectively let the wage to be nearly static, and it is why even if the parameter θ_w exists in the simplified wage setting equation, its posterior still stays about 0.5.

5.2 Forecast Error Variance Decomposition

Table 5 is the unconditional FEVD computed by a 400-iteration algorithm because directly solving the Lyapunov equation is not numerically stable in this model. As illustrated in the table, both IST shock and investment demand shock have important effects on the business cycle. The sum of these two shocks can account for about 65% of the forecast error of the output, 45% of inflation, and 90% of hours worked. This result is similar to Justiniano et al. (2010), who claimed that the IST shock contributes about 50% of the forecast error of the output and 60% of hours worked.

Separately, investment demand shock alone contributes about 40% of the forecast error of the output, and about 50% of the investment. However, investment demand shock contributes much less for the hours worked than IST shock.

Table 5: Unconditional FEVD (%) for the baseline estimation, by government spending (ε_g), IST (ε_s), monetary policy (ε_R), technology (ε_a), and investment demand (ε_d) shocks.

Observable	ε_g	ε_s	ε_R	ε_a	ε_d
Output	4.63	15.55	11.00	27.12	41.69
Inflation	0.32	39.26	12.87	40.14	7.41
Interest rate	0.37	55.06	5.48	31.22	7.87
Hours	4.34	90.19	0.08	3.56	1.83
Investment	0.11	36.23	0.15	12.04	51.48
Gov. spending	99.87	0.02	0.01	0.04	0.06

The first reason is the high autocorrelation of IST shock. As shown in Table 1, ρ_s is quite close to the unit root, while $\rho_d = 0.87$ in the posterior. Second, IST shock triggers a hump-shape adjustment of investment due to the investment adjustment cost. Therefore, its peak arrives late and thus more persistent. By contrast, investment demand shock doesn't have such effect, because it changes the investment exogenously. Finally, the substitution effect of IST shock is strong. As shown in Figure 2, IST shock causes the instant negative wage response but the positive labor input response. The story behind is the shock moves the labor supply curve toward right, reflecting the incentive to save more today because of the cheap investment. The negative response of consumption and nearly static output confirm the intertemporal substitution effect, as they purely increase saving and decrease consumption. On the other side, the investment demand shock shows less substitution effect. As the wage and labor input increase simultaneously, it is the movement of the labor demand curve that dominates the labor market. Though consumption decreases as well, the output increases a lot, which shows the households haven't shifted consumption to investment completely. This is the wealth effect discussed in Nieri and Ragot (2025) and Greenwood et al. (1988): higher investment means higher output in the future, and thus the higher life-time wealth.

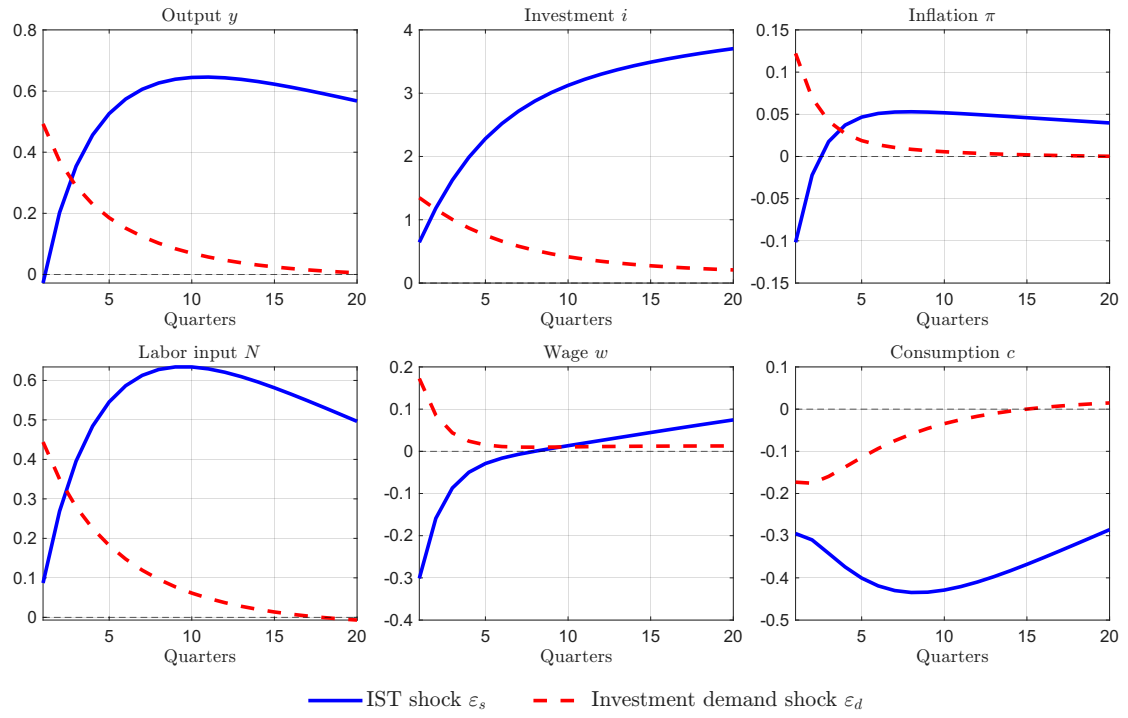


Figure 2: Impulse responses of output, investment, inflation, labor input, wage, and consumption to one-standard-deviation IST and investment demand shocks (baseline estimation; horizon: 20 quarters).

Nevertheless, Justiniano et al. (2010) uses the frequency based FEVD. To facilitate comparing, Table 6 shows the FEVD result based on the same methodology.

Table 6: Frequency-domain FEVD (%) for the business-cycle band (6–32 quarters), with measurement error included (baseline estimation; 500 frequency bins).

Observable	ε_g	ε_s	ε_R	ε_a	ε_d	meas
Output	1.44	28.15	2.16	57.59	9.77	0.89
Inflation	0.13	16.26	17.73	59.52	5.06	1.29
Interest rate	0.16	22.76	9.76	58.55	6.33	2.45
Hours	2.68	49.48	1.49	23.25	16.69	6.42
Investment	0.19	54.18	0.18	28.69	15.72	1.03
Gov. spending	95.93	0.02	0.00	0.04	0.01	4.00

The result shows that the aggregate technology has a much stronger effect on the business cycle, which accounts for about 50% for output, inflation and nominal interest rate. IST shock contributes for 28.15% of output, 16.26% of inflation, 54.14% of investment, and 49.48% of hours worked. Meanwhile, investment demand shock is less important, accounting for 9.77% of output, 5.06% of inflation, 15.72% of investment and 16.69% of hours worked.

Comparing the unconditional FEVD analysis in Table 2, the frequency FEVD restricts the impact between 6 and 32 quarters. From the IRF plot in Figure 2, we can observe that the effect caused by investment demand shock almost converges to zero after 6 periods, which explains why it contributes less in frequency FEVD result.

5.3 Inflation Impact

Another interesting point in Figure 2 is that IST results deflation in the first periods, while investment demand shock generates inflation. Although this difference is documented in Nieri and Ragot (2025), which can be explained by the competition between substitution effect and wealth effect introduced before, Justiniano et al. (2010) and Section 6 in this paper propose the contrary result – IST shock raises deflationary effect. Comparing the posterior, ρ_s and ψ_u show a big difference. Figure 3 tests the inflation response to IST shock under various values of ρ_s and ψ_u , where ψ_u is defined from the household first-order condition of capital utilization rate (10),

$$\hat{r}_t^k = \frac{a''(1)}{a'(1)} \hat{u}_t \equiv \frac{\psi_u}{1 - \psi_u} \hat{u}_t.$$

Under high ρ_s and low ψ_u , the deflationary result is produced. However, inflationary result can be shown if ρ_s is below 0.92 or ψ_u is above 0.32, keeping all other parameters

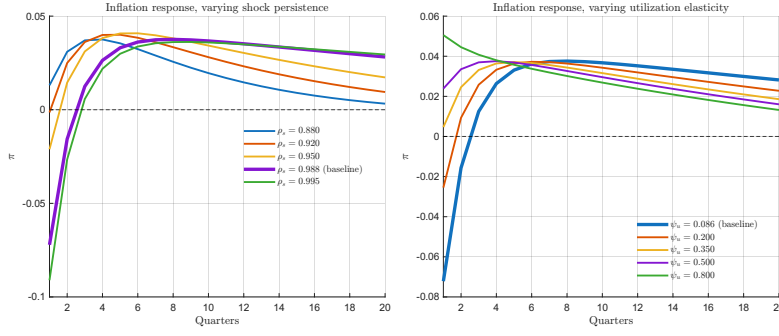


Figure 3: The sign of the inflation response to an IST shock depends on the estimated shock persistence ρ_s and the capital-utilization elasticity ψ_u .

unchanged. To understand the result, we can write the inflation as the summation of present discounted value of marginal cost,

$$\hat{\pi}_t = \beta \mathbb{E}_t \hat{\pi}_{t+1} + \kappa \widehat{mc}_t \implies \hat{\pi}_t = \underbrace{\kappa \sum_{j=0}^{\infty} \beta^j \mathbb{E}_t [\widehat{mc}_{t+j}]}_{= \text{PDV}(mc)}. \quad (33)$$

Furthermore, there are two channel to influence the marginal cost – wage and capital rental rate, shown in Figure 4. The first shows that under low ψ_u , marginal cost is mainly accounted by the wage channel, while capital rental rate has only small effect in the first few periods. To understand this, we associate capital rental rate with firm's cost minimization decision (70) and households' capital utilization decision (67),

$$\begin{cases} \hat{r}_t^k = \hat{w}_t + \hat{N}_t - \hat{K}_{t-1} - \hat{u}_t \\ \hat{r}_t^k = \frac{\psi_u}{1-\psi_u} \hat{u}_t \end{cases} \implies \hat{r}_t^k = \psi_u (\hat{w}_t + \hat{N}_t - \hat{k}_{t-1}). \quad (34)$$

Equation (34) shows $\hat{r}_t^k$ will only move ψ_u fraction of $\hat{w}_t + \hat{N}_t$, as $\hat{k}_{t-1}$ is predetermined. First, under baseline result, $\hat{w}_t$ and $\hat{N}_t$ move to the opposite direction, which cancels out the absolute value of the difference. Second, the posterior of ψ_u is only about 0.1, dampening the magnitude a lot. However, the second panel of Figure 4 shows the capital rental rate channel becomes important as ψ_u is large, leading the inflationary result. To understand this change, we can recall the definition of ψ_u again. As $\frac{a''(1)}{a'(1)} = \frac{\psi_u}{1-\psi_u}$, increase of ψ_u implies $a''(1)$ becomes relatively larger. This means the adjustment cost function is steeper around the steady state. When the IST shock creates the increasing labor supply, marginal productivity of capital increases and thus capital demand increases. However, capital supply can hardly adjust due to expensive adjustment cost. Therefore, the strong movement of capital demand curve results the high rental rate in the first few periods.

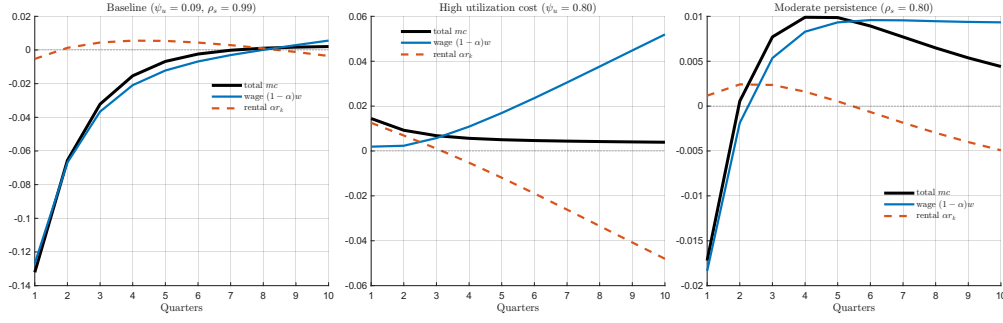


Figure 4: Decomposing the marginal-cost response to an IST shock: a wage channel against a capital-rental channel.

Understanding the role of ψ_u helps the further analysis about ρ_s . Since ψ_u is small in baseline posterior, we can focus on the wage channel. When ρ_s decreases, the IST shock will persist for a shorter period once it arrives. Suppose the IST shock is positive, then households will save more for a shorter period when investment is cheap, and thus wages will decrease for a shorter time. As the current inflation is the summation of future marginal costs shown in equation (33), it will be positive once the summation of negative initial terms is outweighed by the positive tail, as shown in the third panel in Figure 4.

It is worth to stress that the inflation impact under an IST shock is also sensitive to many other parameter values such as the wage sticky parameter and Phillips curve parameter, shown in Figure 5. Although the sign of the inflation impact is not robust over parameter value choice, the sign of the wage impact shows a stable result in this exercise. However, I claim the limitation of such exercise: it alters parameters one by one, but cannot investigate the effect of simultaneous movement among a few parameters. In fact, Justiniano et al. (2010) shows the positive wage impact under an IST shock.

On the other side, Figure 6 shows the evidence about the robust inflationary effect of an investment demand shock. The left panel shows both wage and capital rental rate increase under an investment shock. This is because the shift of the labor demand curve pushes up both labor input and wages, and thus the capital rental rate increases by equation (34). The right panel shows that the inflation impact is positive under an investment demand shock across all selected 500 draws. Moreover, as shown in Figure 7, parameter sweep exercises confirm the robustness of this effect, and the wage impact keeps to be positive during every single parameter sweep.

5.4 Consumption Impact

One of the attractions of an investment demand shock is its ability to generate comovements between consumption, investment and inflation, while an IST shock is usually unable to reproduce such result. Nieri and Ragot (2025) shows the positive movement shows up

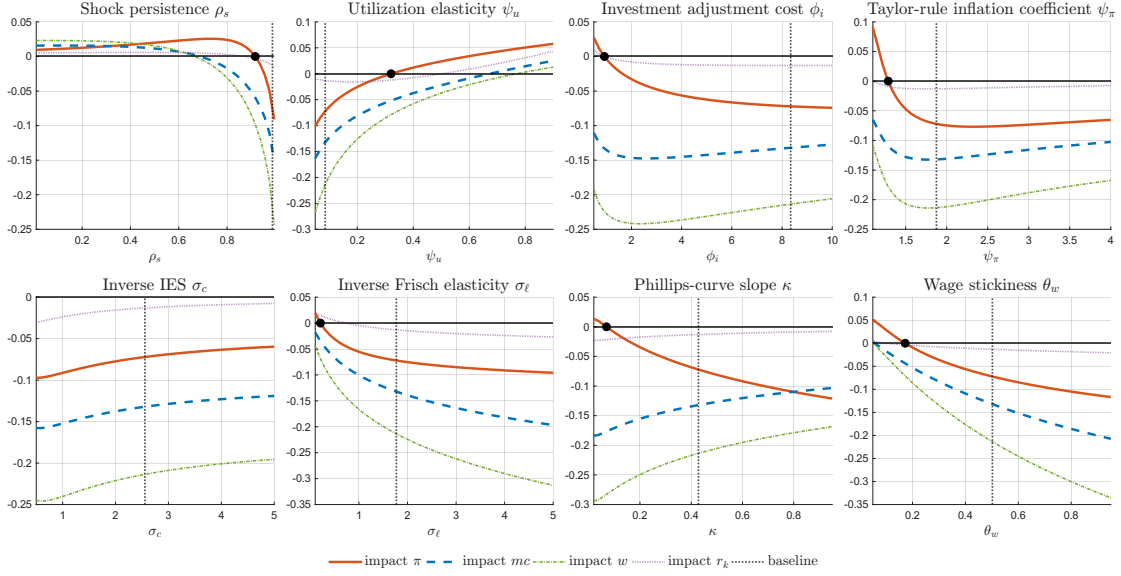


Figure 5: Sensitivity of the sign of the impact inflation response to an IST shock. Each panel varies one parameter over a wide grid

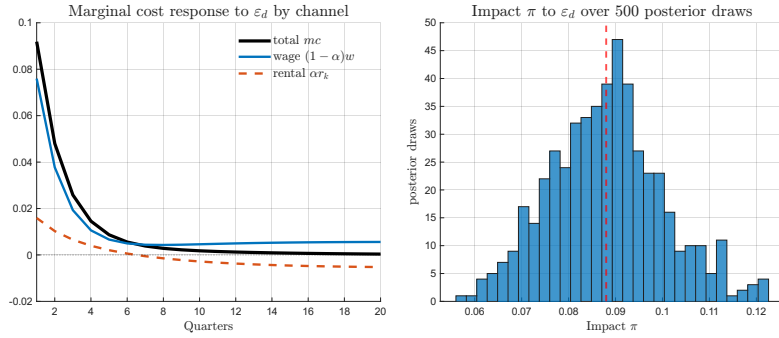


Figure 6: Robustness of the inflationary response to an investment-demand shock. *Left panel.* Channel decomposition of the real marginal-cost response to a unit investment-demand shock at the baseline posterior mean. *Right panel.* Impact inflation $\hat{\pi}_1$ in response to a unit investment-demand shock across 500 posterior MH draws that are selected linearly across index among MH samples after burn-in.

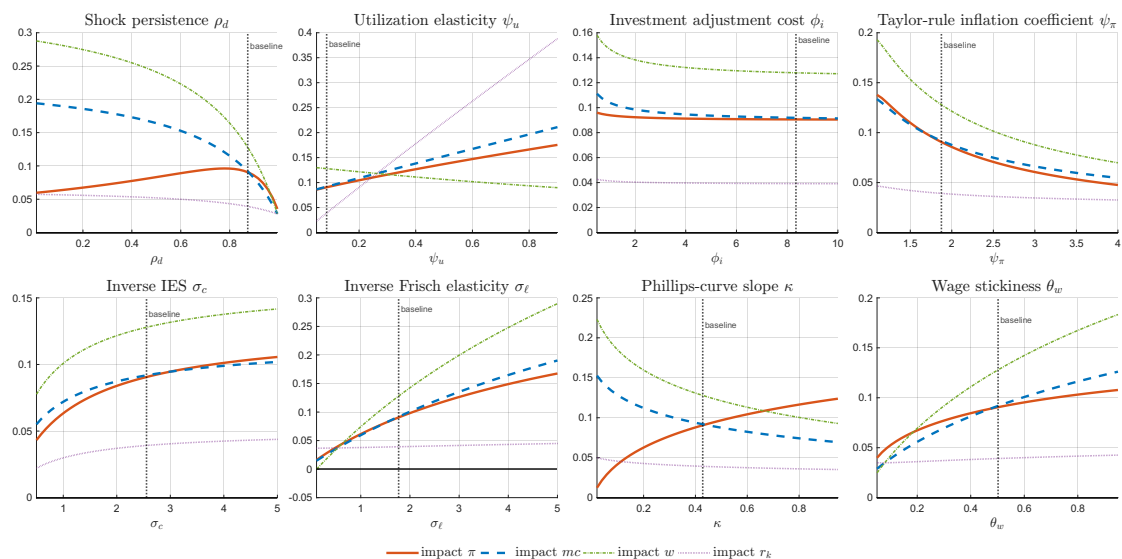


Figure 7: Robustness of the sign of the inflation response to an investment-demand shock. Each panel varies one parameter over a wide grid – the shock persistence ρ_d , the capital-utilization elasticity ψ_u , the investment adjustment cost ϕ_i , and the Taylor-rule inflation coefficient ψ_π – holding all other parameters at the baseline posterior mean

under certain calibration, and one of the quests of this paper is to test whether estimation supports such result.

However, As shown in the IRF plot, Figure 2, the consumption impact is negative. Moreover, altering single parameter value cannot reproduce positive consumption impact as well – such result relies on a certain parameter combinations. To figure out which parameter combination is needed, I align some model settings to Nieri and Ragot (2025), and simultaneously change three parameters that are important in theoretical proof – Phillips-curve slope κ , the Taylor-rule inflation coefficient ψ_π and the wage-rigidity parameter θ_w . Result in Figure 8 shows that, generally, if all three parameters are low enough, then consumption impact can be positive ¹.

The result can be understand as follows. In short run, investment demand shock pushes up aggregate demand, but in long run accumulating more capital. Instead of investment, imagine that the capital increases directly. This simply makes households more wealthy, and thus they will consume more today. So, how to let the investment demand shock be analogous to direct capital increase? We can shut down the short-run effect by letting the economy to be more sticky – lower θ_w suppressing wage, lower κ

¹Some may question about the indeterminate area in Figure 8, since the textbook new Keynesian model can be uniquely solven once $\psi_\pi > 1$. However, the problem becomes more complicated when capital and investment are added into the model, and Sveen and Weinke (2005) provides a detailed theoretical analysis about it.

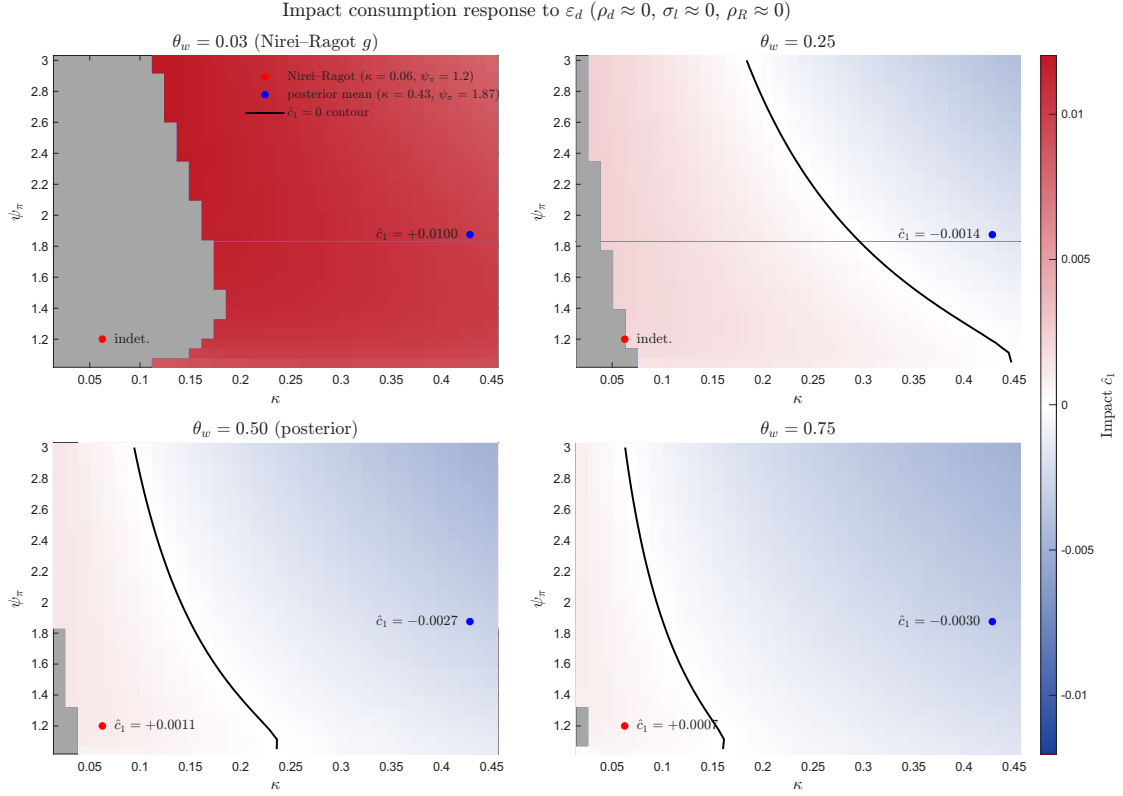


Figure 8: Impact consumption response $\hat{c}_1$ to a unit investment-demand shock as a function of the Phillips-curve slope κ and the Taylor-rule inflation coefficient ψ_π four values of the wage-rigidity parameter θ_w . The remaining parameters are held at the calibration in Nieri and Ragot (2025): an i.i.d. shock ($\rho_d \approx 0$), a non-inertial pure-inflation rule ($\rho_R \approx 0$), and near-linear labor disutility ($\sigma_l \approx 0$). Gray cells are indeterminate configurations.

suppressing inflation, and lower ψ_π suppressing nominal interest rate. They can then form a chain to suppress intertemporal substitution effect. If wage increases temperate, marginal cost will not increase much; if Phillips curve is flat, inflation will not increase much; and if Taylor's rule is inactive to inflation, then nominal interest rate will be stable; finally, since the real interest rate is stable, households will not shift today's consumption to tomorrow.

5.5 Historical Decomposition

To investigate the shock effects along the historical data, I show the historical decomposition in Figure 9, where the fluctuation of the fundamental macroeconomic data are decomposed into the fluctuation of structural shocks.

Compared with IST shock, investment demand shock is shown to be more volatile in the HD of output, which often switches direction from quarter to quarter. Also, it behaves more procyclical, nearly moving in the same direction as output and inflation.

During the oil crisis in 1990-1991, both IST shock and investment demand shock show very negative influence on output. After 1995, the aggregate productivity shock becomes the main driving force of inflation and the nominal interest rate.

6 Robustness Test

In this section, three alternative settings are used to test the baseline result regarding the investment demand shock - the first one uses the standard Smets and Wouters (2007) model; the second discuss the case that investment demeaned is i.i.d.; the last one further differentiate IST shock and marginal efficiency of investment (MEI) shock referring Justiniano et al. (2011).

6.1 Smets–Wouters-style Model

In this section, the baseline model is expaned referring Smets and Wouters (2007) to address the underlying concerns of oversimplification. Specifically, I add the habit formation term in the utility function, competitive monopoly structure in the labor market. In addition, preference shock, price markup shock and wage markup shock are added as well. In terms of data, consumption and wage growth rate are added.

The utility function of households becomes

$$\mathbb{E}_t \left[\sum_{s=0}^{\infty} \beta^s \mu_{b,t+s} \left(\ln(C_{t+s} - hC_{t+s-1}) - \chi \frac{L_{t+s}(j)^{1+\psi}}{1+\psi} \right) \right], \quad (35)$$

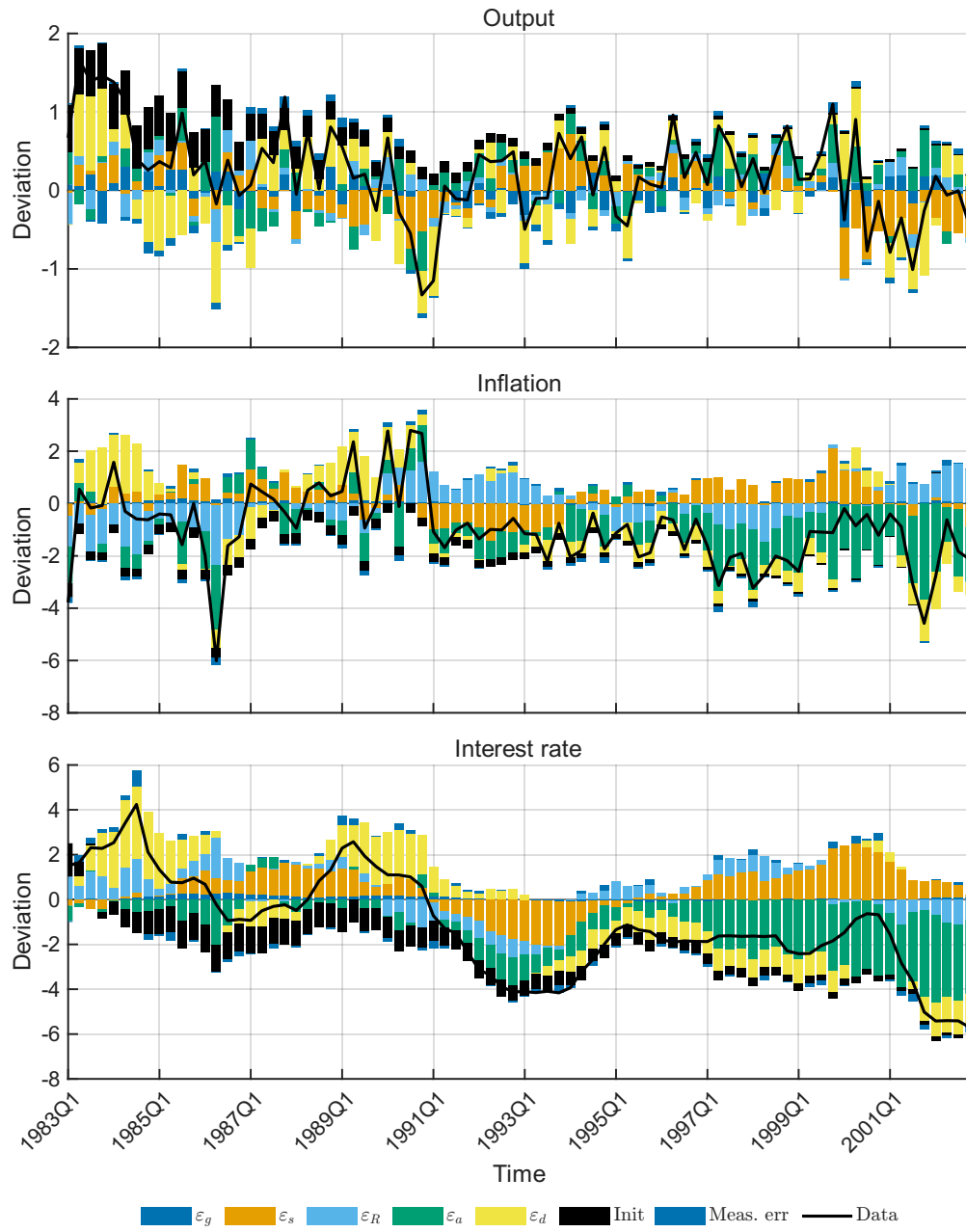


Figure 9: Historical decomposition (Kalman smoother) of demeaned output growth, inflation, and nominal interest rate into contributions from structural shocks (including initial conditions and measurement error) in the estimated baseline model.

where $\mu_{b,t}$ is the intertemporal preference shock, following

$$\ln \mu_{b,t} = (1 - \rho_b)\mu_b + \rho_b \ln \mu_{b,t-1} + \varepsilon_{b,t}, \quad \varepsilon_{b,t} \sim \text{i.i.d. } N(0, \sigma_b^2). \quad (36)$$

It is worth to mention that the consumption part in the utility function becomes logarithmic instead of the more general CRRA form. This is because with habit formation and separable utility function between C_t and L_t , general CRRA utility function doesn't have a balanced growth path unless it reduces to a logarithmic form.

The stochastic discount factor becomes

$$SDF_t = \beta \left(\frac{c_{t+1} - hc_t}{c_t - hc_{t-1}} \right)^{-1} = \beta \left(\frac{\gamma \tilde{c}_{t+1} - h \tilde{c}_t}{\tilde{c}_t - \frac{h}{\gamma} \tilde{c}_{t-1}} \right)^{-1}, \quad (37)$$

where $\tilde{c}_t = c_t / \gamma^t$ is the detrended variable.

The labor market and wage Calvo pricing problem follow Erceg et al. (2000), which gives us the wage Phillips curve

$$\hat{\pi}_t^w = \beta \mathbb{E}_t \hat{\pi}_{t+1}^w - \kappa_w \left(\hat{w}_t - M\hat{R}S_t \right) + \mu_{w,t}, \quad (38)$$

where $\kappa_w = \frac{(1-\theta_w)(1-\beta\theta_w)}{\theta_w(1+\nu_w\psi)}$. Because of the weak identification problem², ν_w is set as 3 following Smets and Wouters (2007).

$\mu_{w,t}$ is the wage markup shock following

$$\ln \mu_{w,t} = (1 - \rho_w)\mu_w + \rho_w \ln \mu_{w,t-1} + \varepsilon_{w,t}, \quad \varepsilon_{w,t} \sim \text{i.i.d. } N(0, \sigma_w^2). \quad (39)$$

The price markup shock $\mu_{p,t}$ is added in the same way – right after the Phillips curve. I assume the markup shocks follow AR(1) processes for simplicity while Smets and Wouters (2007) uses ARMA(1, 1) processes for these two shocks.

Two added observation equations are

$$\begin{bmatrix} \Delta \ln CONS_t \\ \Delta \ln WAGE_t \end{bmatrix} = \begin{bmatrix} \bar{\gamma} \\ \tilde{\gamma} \end{bmatrix} + \begin{bmatrix} \hat{c}_t - \hat{c}_{t-1} \\ \hat{w}_t - \hat{w}_{t-1} \end{bmatrix} + \Sigma_t^{meas}. \quad (40)$$

Posteriors can be found in Table 11 in Appendix C. Especially, both Phillips curve and wage Phillips curve become very flat, with κ estimated as 0.03, and κ_w roughly 0.02, which are much more sticky than the baseline result. A simple test to mute price and wage markup shock shows that the low κ and κ_w is partially benefitted by these shocks, as they can alter price and wage exogenously, even though the endogenous part is rather sticky. Moments comparison is shown in Table 12. As explained in Section 5.1, the variance of hours worked is fitted much more better.

It is clear that investment demand shock has only marginal effect on various macroeconomic variables as shown in Table 7. Investment demand shock can only contribute 4.37% of output forecast variance, 13.62% of investment, and nearly cannot explain other variables such as inflation. Thus I flag the fragility of the baseline result in Table 6.

² ν_w, θ_w only play a role in κ_w , but κ_w can be the same under different value combinations of ν_w and θ_w . Thus the model will be unable to identify ν_w and θ_w parameters separately.

Table 7: Variance decomposition (%).

Observable	ε_g	ε_s	ε_R	ε_a	ε_b	ε_p	ε_w	ε_d
Output	6.15	10.31	7.86	43.58	17.21	5.00	5.52	4.37
Inflation	0.05	1.78	0.82	18.85	0.40	53.05	25.04	0.00
Interest rate	0.19	7.16	30.37	26.67	4.51	10.39	20.72	0.00
Hours	2.00	20.43	7.10	34.85	7.86	1.10	26.35	0.30
Investment	0.25	54.98	2.43	18.59	3.19	0.62	6.33	13.62
Wage	0.00	0.12	0.14	18.25	0.30	16.96	64.23	0.00
Consumption	0.25	2.36	6.48	43.49	42.01	1.92	3.49	0.00
Gov. spending	99.90	0.01	0.01	0.05	0.02	0.01	0.01	0.00

6.2 Independent Investment Demand Shock

Although using AR(1) process to specify shocks is standard, it is natural to think that households will realize the exogenous investment demand in $t + 1$ period, and thus adjust their investment decision in $t + 1$ to dampen the effect of investment demand shock. Equivalently, this is to say that investment demand shock only has the transitory effect in t period, which motivates the exercise in this section.

All other settings are unchanged compared with the baseline, except that ρ_s is manually set as 0. To be concise, I only present FEVD result here in Table 14, and others can be found in Table 13 and Table 14 in Appendix C.

Table 8: Variance decomposition (%).

Observable	ε_g	ε_s	ε_R	ε_a	ε_d
Output	6.67	38.60	9.35	22.42	22.95
Inflation	0.40	52.00	12.87	34.37	0.37
Interest rate	0.37	74.14	3.74	21.66	0.09
Hours	2.84	92.22	0.12	4.53	0.29
Investment	0.25	73.06	0.20	11.31	15.18
Gov. spending	99.59	0.17	0.04	0.10	0.10

Investment demand shock contributes 22.95% of output and 15.18% of investment forecast error variance. Compared with the baseline result in Table 6, the influence of investment demand shock also decreases as expected, since the zero persistence cut off the future influence.

6.3 Marginal Efficiency of Investment Shock

The topic in this section is subtle – it further distinguishes IST shock and marginal efficiency (MEI) of investment shock. Specifically, IST shock means the efficiency from

consumption goods to investment goods, and MEI shock means the efficiency from investment goods to capital. However, without modelling the detailed investment goods producers and capital producers, both shocks stay in the capital law of motion in their reduced form,

$$k_{t+1} = (1 - \delta)k_t + \mu_{s,t}\mu_{m,t} \left[1 - S \left(\frac{i_t}{i_{t-1}} \right) \right] i_t, \quad (41)$$

and thus there will be weak identification problem within the previous data set.

This test is motivated by Justiniano et al. (2011), who claim that IST shock will become less important if it is identified by data, and that MEI shock becomes the one that matters. However, this raises the doubt about the estimation result – does the important thing is just the residual in capital law of motion? Although we can write multiple shocks in the capital law of motion, the equation suffers misspecification problem that we cannot make sure what are the really shocks. We can claim IST shock, investment demand shock, or MEI shock in the capital law of motion, but which shocks to add depends on our assumptions. If data-identified shock is less important, then the other part maybe just the residual in the equation, and it is significant no matter what shock is named.

To alleviate the concern, the best thing to do is to identify investment shock directly by some data. However, as this shock is originated from idiosyncratic productivity shocks, the micro data that we need can hardly be incorporated into the current framework, where we only consider aggregate variables. Therefore, I can only conduct a horse-race test in this section by adding MEI shock into the model. The result cannot confirmly tell the importance of investment demand shock, but only some suggestions.

I use the relative price data to solve the weak identification problem mentioned in equation (41). As pointed out by Greenwood et al. (1997) and Fisher (2006), relative price of investment reflects the investment specific technology level in a one-sector model³. Therefore, using the detrended relative price data, I assume that the detrended relative price represents the inverse of the IST level state variable. The data, relative price of investment goods (PIRIC) is collected from FRED, and then I take $100 \ln PIRIC_t$. As the data has an obvious trend, it should be detrended to match the model assumption that the logarithm of IST level is a stationary process. Although it is more realistic to model the logarithm of IST level as a random walk process given the data, such modeling requires recalculating the balanced growth path, steady state and log-linearized model, as another growth term is added into the model. Thus, using the detrended data is a more straightforward approach.

Table 9 reports the FEVD in the model incorporating MEI shock and relative price

³If we model the production of consumption goods and investment goods as two sectors such as Moura (2018), relative price of investment goods is represented as the relative productivity, markup and the marginal cost between these two sectors. Therefore, relative price should have more complex dynamics in a more realistic model, rather than as only an exogenous stochastic process.

Table 9: Variance decomposition (%).

Observable	ε_g	ε_s	ε_R	ε_a	ε_m	ε_d
Output	4.58	0.44	10.81	23.79	17.22	43.16
Inflation	0.31	0.78	10.33	34.79	47.64	6.15
Interest rate	0.35	1.31	4.77	25.98	61.45	6.14
Hours	3.01	0.44	0.08	3.01	92.01	1.45
Investment	0.12	1.09	0.17	11.10	38.88	48.63
Gov. spending	99.65	0.00	0.04	0.09	0.06	0.16
Relative price	0.00	100.00	0.00	0.00	0.00	0.00

data. Similar to Justiniano et al. (2011), IST shock contributes much less to the output, labor and investment forecast error compared with the baseline result in Table 6. Directly, this is because the relative price ties the scale of the IST shock, reducing the posterior mean of its standard deviation from 1.4 to 0.35. Investment demand shock still shows strong impact on output and investment, contributing 43.16% and 48.64% of variances of these variables.

7 Conclusion

This paper revisits the statement of Justiniano et al. (2010), who claims that the investment specific technology is the main driving force of the business cycle, by testing an alternative hypothesis - investment demand shock proposed by Nieri and Ragot (2025). Building a DSGE model with both IST shock and investment demand shock and estimating it using Bayesian methods, the results show that investment demand shock can be another competing shock driving the business cycle. Investment demand shock alone contributes about 40% of the forecast error of output, and about 50% of investment.

To address the concerns of the identification problem and oversimplification of the model specification, Section 6 provides two robustness tests. One uses the relative price data to further identify IST shock, and the other uses a larger model similar to Smets and Wouters (2007) to solidify the results estimated from the baseline model.

Overall, investment demand shock can be a promising candidate to explain the business cycle along with its theoretical ability to generate the comovements between various macroeconomic variables. This paper provides empirical support in a representative-agent DSGE model. However, this problem can still be revisited in a more theoretically grounded heterogeneous-agent model.

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A Model Solution

This appendix derives (i) a stationary representation of the baseline model in Section 2 by detrending the real variables, (ii) the deterministic steady state, and (iii) a log-linear approximation around the steady state.

A.1 Balanced growth and detrended variables

The model features labor-augmenting growth at gross rate $\gamma > 1$. Define the deterministic trend

$$Z_t \equiv \gamma^t. \quad (42)$$

For any real quantity that shares the balanced-growth trend (output, absorption, capital, etc.), define a stationary (detrended) counterpart by dividing by Z_t :

$$\tilde{X}_t \equiv \frac{X_t}{Z_t} = \frac{X_t}{\gamma^t}, \quad X_t \in \{Y_t, C_t, I_t, G_t, K_t\}. \quad (43)$$

Inflation and the gross nominal interest rate are already stationary:

$$\pi_t \equiv \frac{P_t}{P_{t-1}}, \quad R_t. \quad (44)$$

Because production uses effective labor $Z_t L_t$, the real wage grows on the balanced-growth path. It is sometimes convenient to define a detrended real wage

$$\tilde{w}_t \equiv \frac{w_t}{Z_t}, \quad (45)$$

while the (gross) real return objects (e.g. R_t/π_{t+1} , the rental rate of capital services) are stationary.

Capital services and the utilization cost term also become stationary after detrending. Using $K_t^s = u_t K_{t-1}$ and $K_{t-1} = Z_{t-1} \tilde{K}_{t-1}$,

$$\tilde{K}_t^s \equiv \frac{K_t^s}{Z_t} = \frac{u_t K_{t-1}}{Z_t} = \frac{u_t}{\gamma} \tilde{K}_{t-1}. \quad (46)$$

Stationary capital accumulation. The law of motion for capital in Section 2 is

$$K_{t+1} = (1 - \delta)K_t + \mu_{s,t} \left[1 - S\left(\frac{I_t}{I_{t-1}}\right) \right] I_t. \quad (47)$$

Divide by $Z_{t+1} = \gamma Z_t$ and use $I_t/I_{t-1} = \gamma (\tilde{I}_t/\tilde{I}_{t-1})$ to obtain the stationary representation

$$\gamma \tilde{K}_{t+1} = (1 - \delta) \tilde{K}_t + \mu_{s,t} \left[1 - S\left(\gamma \frac{\tilde{I}_t}{\tilde{I}_{t-1}}\right) \right] \tilde{I}_t. \quad (48)$$

Under $S(x) = \frac{\phi_i}{2}(x - \gamma)^2$, the balanced-growth steady state satisfies $\tilde{I}_t/\tilde{I}_{t-1} = 1$, so that $S(\gamma) = 0$ and $S'(\gamma) = 0$.

Stationary production. For each intermediate producer, the production function is

$$Y_t(j) = \mu_{a,t} K_t^s(j)^\alpha (Z_t N_t(j))^{1-\alpha}. \quad (49)$$

Aggregating and dividing by Z_t yields the stationary aggregate production function

$$\tilde{Y}_t = \mu_{a,t} (\tilde{K}_t^s)^\alpha L_t^{1-\alpha}. \quad (50)$$

Stochastic discount factors. From equation (5),

$$\Lambda_{t,t+1} = \frac{\beta}{\gamma} \left(\frac{\tilde{C}_{t+1}}{\tilde{C}_t} \right)^{-\sigma}. \quad (51)$$

Investment optimality condition. Let $x_t \equiv I_t/I_{t-1} = \gamma (\tilde{I}_t/\tilde{I}_{t-1})$. The (detrended) investment FOC is given in the main text as (6).

A.2 Deterministic steady state

Consider the non-stochastic steady state of the detrended system where shocks are at their means

$$\mu_{a,t} = \mu_a, \mu_{s,t} = \mu_s, \mu_{g,t} = \mu_g, \quad (52)$$

and all stationary variables are constant: $\tilde{X}_t = \tilde{X}$, $u_t = u$, $\pi_t = \pi$, $R_t = R$, $Q_t = Q$.

Inflation and nominal interest rate. In steady state, $\pi = \pi^*$ and $Y = Y^n$ in the Taylor rule, implying a constant R . From Euler's equation,

$$1 = \frac{\beta R}{\gamma \pi} \implies R = \frac{\gamma}{\beta} \pi. \quad (53)$$

Investment. With $x = \gamma$ and $S(\gamma) = S'(\gamma) = 0$, the investment FOC (6) reduces to

$$1 = Q \mu_s \implies Q = \mu_s^{-1}. \quad (54)$$

Under the usual normalization $\mu_s = 1$, we have $Q = 1$.

Capital accumulation. From (48) (with $S(\gamma) = 0$),

$$\tilde{I} = (\gamma - 1 + \delta) \tilde{K} \mu_s^{-1}. \quad (55)$$

In particular, if $\mu_s = 1$ then $\tilde{I}/\tilde{K} = \gamma - 1 + \delta$.

Return to capital. With $u = 1$, $a(1) = 0$, and constant Q , the capital Euler equation (7) implies

$$Q = \frac{\beta}{\gamma} (r^k + (1 - \delta)Q) \implies r^k = \left(\frac{\gamma}{\beta} - (1 - \delta) \right) Q. \quad (56)$$

When $Q = 1$, the steady-state rental rate is $r^k = \gamma/\beta - (1 - \delta)$.

Marginal cost and factor prices. With monopolistic competition and a constant elasticity of substitution ν , the desired steady-state markup is

$$\mu_p \equiv \frac{\nu}{\nu - 1}, \quad mc \equiv \mu_p^{-1} = \frac{\nu - 1}{\nu}. \quad (57)$$

Cost minimization implies factor pricing conditions (real terms)

$$w = mc (1 - \alpha) \frac{Y}{L}, \quad r^k = mc \alpha \frac{Y}{K^s}. \quad (58)$$

In detrended form, $Y = Z\tilde{Y}$ and $w = Z\tilde{w}$, while L and r^k are stationary.

Wage and labor. Under preferences in effective consumption $\tilde{C}_t = C_t/Z_t$, the marginal rate of substitution implied by the household problem is

$$MRS_t \equiv -\frac{U_{L,t}}{U_{C,t}} = \chi L_t^\psi Z_t \tilde{C}_t^\sigma. \quad (59)$$

Hence the stationary (detrended) MRS is $\widetilde{MRS}_t \equiv MRS_t/Z_t = \chi L_t^\psi \tilde{C}_t^\sigma$. Writing the simplified sticky wage rule in stationary form,

$$\tilde{w}_t = (\widetilde{MRS}_t)^{\theta_w} \tilde{w}^{1-\theta_w}, \quad (60)$$

the steady state satisfies $\tilde{w} = \widetilde{MRS}$, i.e.

$$\tilde{w} = \chi L^\psi \tilde{C}^\sigma. \quad (61)$$

Together with goods market clearing and production, this pins down $(\tilde{C}, \tilde{I}, \tilde{Y}, \tilde{K}, L)$.

A.3 Log-linearized equilibrium conditions

For any stationary variable $\tilde{X}_t$, define the log-deviation from steady state as

$$\hat{x}_t \equiv \log \left(\frac{\tilde{X}_t}{\tilde{X}} \right). \quad (62)$$

For gross rates, define $\hat{\pi}_t \equiv \log(\pi_t/\pi)$ and $\hat{R}_t \equiv \log(R_t/R)$.

(1) Consumption Euler equation. Log-linearizing (8) yields

$$\sigma (\hat{c}_t - \mathbb{E}_t \hat{c}_{t+1}) = \hat{R}_{t+1} - \mathbb{E}_t \hat{\pi}_{t+1}. \quad (63)$$

(2) Investment. Under $S(x) = \frac{\phi_i}{2}(x - \gamma)^2$ and around $x = \gamma$, the investment first-order condition (6) log-linearizes to

$$\hat{q}_t = \hat{\mu}_{s,t} + \varphi_i (\hat{i}_t - \hat{i}_{t-1}) - \frac{\beta}{\gamma} \varphi_i \mathbb{E}_t (\hat{i}_{t+1} - \hat{i}_t), \quad (64)$$

where $\varphi_i \equiv \phi_i \gamma^2$ and $\hat{q}_t \equiv \log(Q_t/Q)$.

(3) Detrended capital accumulation. Since $S(\gamma) = S'(\gamma) = 0$, the adjustment cost is second order and drops out of the first-order approximation of (48):

$$\hat{k}_{t+1} = \frac{1 - \delta}{\gamma} \hat{k}_t + \frac{\tilde{I}}{\gamma \tilde{K}} (\hat{\mu}_{s,t} + \hat{i}_t). \quad (65)$$

(4) Capital Euler equation. Let $\hat{u}_t \equiv \log(u_t)$ so that $\hat{u}_t \approx u_t - 1$ around $u = 1$. Using (7) and $\Lambda_{t,t+1}$ in (51), the log-linearized capital Euler equation can be written as

$$\hat{q}_t = -\sigma \mathbb{E}_t (\hat{c}_{t+1} - \hat{c}_t) + \frac{\beta}{\gamma} (1 - \delta) \mathbb{E}_t \hat{q}_{t+1} + \frac{\beta}{\gamma} r^k \mathbb{E}_t \hat{r}_{t+1}^k. \quad (66)$$

where the utilization term drops out at first order under the normalization $a(1) = 0$ and $a'(1) = r^k$.

(5) Utilization optimality. Linearizing (10) around $u = 1$ yields

$$\hat{r}_t^k = \frac{a''(1)}{a'(1)} \hat{u}_t \equiv \frac{\psi_u}{1 - \psi_u} \hat{u}_t. \quad (67)$$

(6) Production and factor demands. From (50),

$$\hat{y}_t = \hat{\mu}_{a,t} + \alpha \hat{k}_t^s + (1 - \alpha) \hat{\ell}_t, \quad (68)$$

and since $\tilde{K}_t^s = (u_t/\gamma) \tilde{K}_{t-1}$,

$$\hat{k}_t^s = \hat{k}_{t-1} + \hat{u}_t. \quad (69)$$

Cost minimization implies

$$\hat{w}_t = \hat{m}c_t + \hat{y}_t - \hat{\ell}_t, \quad \hat{r}_t^k = \hat{m}c_t + \hat{y}_t - \hat{k}_t^s. \quad (70)$$

(7) New Keynesian Phillips curve. With Calvo pricing, no indexation, and a constant desired markup, inflation obeys

$$\hat{\pi}_t = \frac{\beta}{\gamma} \mathbb{E}_t \hat{\pi}_{t+1} + \kappa_p \hat{m}c_t, \quad (71)$$

where

$$\kappa_p \equiv \frac{(1 - \theta_p)(1 - \theta_p \beta/\gamma)}{\theta_p}. \quad (72)$$

(8) Sticky wage rule. Using $\widetilde{MRS}_t = \chi L_t^\psi \tilde{C}_t^\sigma$ and $\tilde{w}_t = (\widetilde{MRS}_t)^{\theta_w} \tilde{w}^{1-\theta_w}$, the log-linear wage equation is

$$\hat{w}_t = \theta_w (\sigma \hat{c}_t + \psi \hat{\ell}_t). \quad (73)$$

(9) Monetary policy. Log-linearizing the Taylor rule around $(\pi, Y/Y^n) = (\pi^*, 1)$ yields

$$\hat{R}_t = \rho_R \hat{R}_{t-1} + (1 - \rho_R) (\psi_\pi \hat{\pi}_t + \psi_y (\hat{y}_t - \hat{y}_t^n)) + \varepsilon_{R,t}. \quad (74)$$

(10) Government spending. From $G_t = (Y_t/Y)^{-\phi_g} \mu_{g,t}$, the log-linearized rule is

$$\hat{g}_t = -\phi_g \hat{y}_t + \hat{\mu}_{g,t}. \quad (75)$$

(11) Resource constraint. The aggregate resource constraint $Y_t = C_t + I_t + G_t + a(u_t)K_{t-1}$ implies in detrended form **Check**

$$\tilde{Y}_t = \tilde{C}_t + \tilde{I}_t + \tilde{G}_t + \frac{1}{\gamma} a(u_t) \tilde{K}_{t-1}. \quad (76)$$

Linearizing around $a(1) = 0$ gives

$$\hat{y}_t = s_c \hat{c}_t + s_i \hat{i}_t + s_g \hat{g}_t + s_{ku} \hat{u}_t, \quad (77)$$

where $s_c \equiv \tilde{C}/\tilde{Y}$, $s_i \equiv \tilde{I}/\tilde{Y}$, $s_g \equiv \tilde{G}/\tilde{Y}$ and $s_{ku} \equiv (r^k \tilde{K})/(\gamma \tilde{Y})$ under the normalization $a'(1) = r^k$.

(12) Shock processes. For $x \in \{a, s, g\}$, the shock processes in Section 2 imply the stationary AR(1) laws

$$\hat{\mu}_{x,t} = \rho_x \hat{\mu}_{x,t-1} + \varepsilon_{x,t}, \quad (78)$$

with $\varepsilon_{x,t} \sim \text{i.i.d. } \mathcal{N}(0, \sigma_x^2)$.

B Data

This appendix documents the construction of the observable data used in the estimation in Section 4. All series are downloaded from the Federal Reserve Economic Data (FRED) database and converted to quarterly frequency. When FRED provides a series at monthly frequency, we take the within-quarter average.

B.1 Raw series

Table 10 lists the raw FRED series used to construct the observables.

Table 10: Raw FRED series (mnemonics) used to construct the observables for estimation and robustness exercises.

Observable / input	FRED mnemonic
Real GDP (level)	GDPC1
CPI price level (level)	CPIAUCSL
Effective federal funds rate (level, percent)	FEDFUNDS
Civilian non-institutional population (level)	CNP16OV
Civilian employment (level)	CE16OV
Average weekly hours (index/level)	PRS85006023
GDP deflator (price level)	GDPDEF
Personal consumption expenditures (nominal)	PCEC
Private fixed investment (nominal)	FPI
Real government consumption expenditures and investment	GCEC1
Relative price of investment goods (index)	PIRIC
Compensation per hour (nominal)	COMPNFB

B.2 Transformations and scaling

The estimation uses six observables: (i) per-capita real output growth, (ii) annualized CPI inflation, (iii) the effective federal funds rate, (iv) (log) labor input, (v) per-capita real investment growth, and (vi) per-capita real government spending growth. The transformations follow the measurement conventions in Smets and Wouters (2007) and Justiniano et al. (2010).

Per-capita real output growth. Let GDP_t denote real GDP (GDPC1) and POP_t denote population (CNP16OV), both at quarterly frequency. Define real GDP per capita $GDP_t^{pc} \equiv GDP_t / POP_t$. The observable is quarterly percent growth,

$$\Delta \ln GDP_t^{pc} \equiv 100(\ln GDP_t^{pc} - \ln GDP_{t-1}^{pc}). \quad (79)$$

Annualized inflation. Let P_t denote the CPI price level (CPIAUCSL). The observable inflation rate is computed as annualized log inflation,

$$\pi_t \equiv 400(\ln P_t - \ln P_{t-1}). \quad (80)$$

Federal funds rate. Let FFR_t denote the effective federal funds rate (FEDFUNDS). This series is used in levels (percent). If downloaded at monthly frequency, it is converted to quarterly frequency by averaging within the quarter.

Labor input. Labor input combines average weekly hours (PRS85006023), employment (CE16OV), and population (CNP16OV). Let H_t denote hours, EMP_t employment, and POP_t population. The (log) labor-input observable is

$$HOURS_t \equiv 100 \ln \left(H_t \frac{EMP_t}{POP_t} \right), \quad (81)$$

and we subtract its sample mean so that $HOURS_t$ is centered at zero, consistent with the log-linear model representation.

Per-capita real investment growth. Let INV_t denote nominal private fixed investment (FPI) and DEF_t the GDP deflator (GDPDEF). The script constructs a real per-capita series

$$INV_t^{pc} \equiv \frac{INV_t}{POP_t DEF_t}, \quad (82)$$

and then computes quarterly percent growth,

$$\Delta \ln INV_t^{pc} \equiv 100(\ln INV_t^{pc} - \ln INV_{t-1}^{pc}). \quad (83)$$

Per-capita real government spending growth. Let GOV_t denote real government consumption expenditures and gross investment (GCEC1). The per-capita series is $GOV_t^{pc} \equiv GOV_t / POP_t$, and the observable is quarterly percent growth,

$$\Delta \ln GOV_t^{pc} \equiv 100(\ln GOV_t^{pc} - \ln GOV_{t-1}^{pc}). \quad (84)$$

Per-capita real consumption growth. For the SW-type robustness exercise in Section 6, I construct consumption growth using nominal consumption (PCEC), the GDP deflator (GDPDEF), and population (CNP16OV). Define the real per-capita consumption level

$$CONS_t \equiv \frac{PCEC_t}{POP_t DEF_t}, \quad (85)$$

where DEF_t denotes the GDP deflator. The observable is quarterly percent growth,

$$\Delta \ln CONS_t \equiv 100(\ln CONS_t - \ln CONS_{t-1}). \quad (86)$$

Real wage growth. Wage growth is based on nominal compensation per hour (COMP-NFB) deflated by the GDP deflator (GDPDEF). Define the real wage level

$$WAGE_t \equiv \frac{COMP_{NFB_t}}{DEF_t}, \quad (87)$$

and the observable wage growth

$$\Delta \ln WAGE_t \equiv 100(\ln WAGE_t - \ln WAGE_{t-1}). \quad (88)$$

Detrended relative price of investment. Section 6 uses the relative price of investment goods (PIRIC) as an additional observable to help identify the investment-specific technology (IST) shock. I first take logs and scale the series,

$$RP_t \equiv 100 \ln PIRIC_t, \quad (89)$$

and then remove a linear trend,

$$\widetilde{RP}_t \equiv \text{detrend}(RP_t). \quad (90)$$

C Other Results

C.1 Smets–Wouters-style Model

C.2 Independent Investment Demand Shock

C.3 Marginal Efficiency of Investment Shock

Table 11: Posterior parameter summary (mean, std, 5%, 95%).

Parameter	Mean	Std	5%	95%
h	0.789318	0.0331432	0.733869	0.84248
σ_ℓ	2.05906	0.507596	1.30326	2.93908
κ	0.0342349	0.0144691	0.0154811	0.0642415
α	0.307778	0.018153	0.277744	0.337996
θ_w	0.819954	0.0522716	0.72676	0.898419
$\bar{l}$	-0.377072	1.23851	-2.38813	1.67251
γ_Q	0.250156	0.0563519	0.154447	0.340991
r^A	2.69376	0.537527	1.85696	3.58958
π^A	4.13672	0.493083	3.37295	4.9922
ψ_π	1.65039	0.200213	1.33025	1.99108
ψ_y	0.1905	0.0926034	0.0698168	0.367066
ρ_a	0.995414	0.00223049	0.991002	0.9984
ρ_g	0.970504	0.00898614	0.956139	0.985914
ρ_{st}	0.847611	0.0504747	0.756227	0.922332
ρ_R	0.816709	0.030078	0.765063	0.863216
ρ_b	0.71395	0.0630923	0.604358	0.809139
ρ_p	0.37702	0.0872959	0.233339	0.519235
ρ_w	0.492563	0.111718	0.299115	0.669369
ρ_d	0.443808	0.0927867	0.276965	0.579432
σ_a	0.856932	0.0865946	0.723775	1.0095
σ_g	0.888415	0.0712977	0.777711	1.01225
σ_R	0.208141	0.0202586	0.177871	0.242672
σ_s	2.37375	0.704986	1.45391	3.76803
σ_b	0.696668	0.214898	0.410226	1.10856
σ_p	0.253546	0.0288889	0.208421	0.303183
σ_w	0.438388	0.066549	0.336518	0.556011
σ_d	0.513611	0.0879531	0.373855	0.664544
ϕ_i	9.82621	2.26821	6.434	13.9086
ψ_u	0.114892	0.0300344	0.0682515	0.16764
ϕ_g	0.0352812	0.0190405	0.00845613	0.0703056

Table 12: Unconditional variance: data vs model-implied.

Observable	Mean		Variance	
	Model	Data	Model	Data
Output	0.250156	0.557311	0.721123	0.336311
Inflation	4.13672	3.08209	3.76477	2.16335
Interest rate	7.83111	6.04504	4.6454	5.00836
Hours	-0.377072	-2.97207e-14	9.83744	6.37204
Investment	0.250156	0.566225	2.79202	2.52577
Wage	0.250156	0.397143	0.720185	0.454228
Consumption	0.250156	0.655992	0.673574	0.304601
Gov. spending	0.250156	0.305833	0.823018	0.848019

Table 13: Posterior parameter summary (mean, std, 5%, 95%).

Parameter	Mean	Std	5%	95%
σ_c	3.19578	0.44169	2.50627	3.95396
σ_ℓ	1.32452	0.219402	1.01932	1.71386
κ	0.488217	0.0746218	0.372874	0.617191
α	0.414954	0.0154983	0.390035	0.440865
θ_w	0.59064	0.0906712	0.446535	0.744111
$\bar{l}$	0.760381	1.40463	-1.58666	3.06506
γ_Q	0.355719	0.0217611	0.318886	0.39047
r^A	2.24793	0.423956	1.5245	2.93154
π^A	4.41421	0.689487	3.4686	5.55323
ψ_π	1.80523	0.195855	1.47337	2.12852
ψ_y	0.407772	0.227664	0.130916	0.842778
ρ_a	0.894964	0.0333533	0.841777	0.957558
ρ_g	0.970219	0.0127162	0.947788	0.988996
ρ_{ist}	0.923814	0.0259531	0.878598	0.963433
ρ_R	0.766888	0.0404594	0.701066	0.833808
σ_a	0.474856	0.0830591	0.327078	0.60536
σ_g	0.903155	0.0750312	0.786836	1.02981
σ_R	0.244644	0.0270224	0.202964	0.291997
σ_{ist}	3.05003	0.60494	2.10212	4.09423
σ_I	0.549554	0.126359	0.383514	0.788584
ϕ_i	6.39966	1.83437	3.72635	9.71367
ψ_u	0.139581	0.0436726	0.0689582	0.21288
ϕ_g	0.0779049	0.0515627	0.014074	0.177194
ρ_{mei}	0.592719	0.201886	0.240493	0.900904
σ_{mei}	0.612025	0.266447	0.320273	1.21262

Table 14: Unconditional variance: data vs model-implied.

Observable	Mean		Variance	
	Model	Data	Model	Data
Output	0.355719	0.557311	0.599824	0.336311
Inflation	4.41421	3.08209	6.18871	2.16335
Interest rate	8.08501	6.04504	10.8	5.00836
Hours	0.760381	-2.97207e-14	16.1817	6.37204
Investment	0.355719	0.566225	4.12066	2.52577
Gov. spending	0.355719	0.305833	0.837917	0.848019

Table 15: Posterior parameter summary (mean, std, 5%, 95%).

Parameter	Mean	Std	5%	95%
σ_c	2.72532	0.410343	2.09831	3.43364
σ_ℓ	1.87221	0.292736	1.41723	2.39334
κ	0.399372	0.0681425	0.294782	0.517415
α	0.40241	0.0179806	0.372085	0.431748
θ_w	0.461886	0.0952085	0.317097	0.626127
$\bar{l}$	1.02235	1.77618	-1.92085	3.86915
γ_Q	0.330592	0.0266304	0.284192	0.372339
r^A	1.72302	0.445638	0.95412	2.43557
π^A	4.32199	0.899677	3.10971	6.00596
ψ_π	1.80683	0.195192	1.50385	2.14188
ψ_y	0.28156	0.122336	0.107085	0.508271
ρ_a	0.940061	0.0277589	0.891146	0.981549
ρ_g	0.989801	0.00376522	0.982824	0.995217
ρ_{ist}	0.924708	0.0239768	0.883683	0.961365
ρ_R	0.775321	0.0384891	0.707226	0.834059
σ_a	0.440538	0.0640171	0.343732	0.552686
σ_g	0.891235	0.0702004	0.781428	1.01108
σ_R	0.239654	0.0271635	0.199584	0.289978
σ_{ist}	0.420755	0.0419203	0.354669	0.492266
ρ_I	0.869291	0.0414575	0.795151	0.931259
σ_I	1.36431	0.175211	1.10039	1.68022
ϕ_i	8.56207	2.02662	5.55579	12.1727
ψ_u	0.0836911	0.0299383	0.0393241	0.135858
ϕ_g	0.065442	0.0434625	0.0119007	0.151993
ρ_{mei}	0.989372	0.00553808	0.978574	0.996856
σ_{mei}	1.52804	0.344867	0.981752	2.12499

Table 16: Unconditional variance: data vs model-implied.

Observable	Mean		Variance	
	Model	Data	Model	Data
Output	0.330592	0.557311	0.687462	0.336311
Inflation	4.32199	3.08209	6.63809	2.16335
Interest rate	7.36738	6.04504	10.3437	5.00836
Hours	1.02235	-2.97207e-14	39.7892	6.37204
Investment	0.330592	0.566225	4.19753	2.52577
Gov. spending	0.330592	0.305833	0.814836	0.848019
Relative price	0	-0.00949494	1.30848	2.19818